Populism, the collection of popular policy ideas

Similarly, judging a policy initiative by its popularity among the masses is unwise. There is a reason why the term *populism* is a pejorative one: pursuing the policies that have wide support among the people often leads to outcomes which are against the best interests of the people.

As an example, North American Free Trade Agreement (NAFTA) created enormous prosperity in the US, but it is generally unpopular in opinion polls. In India, opinion polls have often revealed hostility to eminently sound policies, e.g., on subsidy reform. We should not judge (say) GST by its popularity: the full general equilibrium effects will not be understood by the average voter.

Representative democracy

The strategy that, instead, works better is *representative democracy*, a republic. We as individuals elect persons to represent our *interests*. We expect municipal councillors, members of the legislative assembly (MLAs) and members of Parliament (MPs) to invest time in understanding policy questions, on our behalf. Legislators are expected to have *shared values* with voters, and obtain intricate knowledge of public policy in pursuing the best interests of their constituents.

This is not easy: there is a principal–agent problem where the individual (the principal) faces difficulties in ensuring that the elected politician (the agent) works in her best interests. Making this work is difficult, but it is more feasible than asking voters to understand policy choices.